**Global Capitalism Index Review**

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Thanks for the opportunity to offer feedback on this project.

Three points at the outset:

1. I understand the intended final product to be a quantitative country-year index of capitalism for a large sample of countries. This index would reflect a more expansive definition of capitalism that emphasizes the role of (democratic?) institutions in supporting capitalism.

   I did not find proposed metrics of success, such as number of users, website downloads, citations in academic research, media mentions, etc.

2. The intended audience is unclear. The initial slide in the deck suggests that academic researchers are the intended audience. Other audiences could be students/teaching and other interested lay people, news media, and policy-oriented users (policymakers, think tanks, etc).

3. I have a basic understanding of principal component analysis (PCA), but I have not used it myself nor is it commonly used in my field. Interpret my related technical comments accordingly.

I recognize the limits of existing capitalism measures and appreciate the logic of emphasizing that institutions support capitalism. That said, I am not yet convinced that this index adds sufficient value for its range of possible users.

Regarding academic researchers, can you show that switching to this index changes anything tangible such as research findings? For example, you can replicate statistical analyses replacing this index with existing measures.  I do not typically use these types of measures myself, but I assume researchers use them in statistical analyses of country-year outcomes. Since country scores probably do not vary much annually, these would have to be analyses with a relatively long time series to capture meaningful within country variation over time.

Related, when would researchers prefer a broad summary metric of capitalism over directly measuring relevant components? This index summarizes several economic and policy concepts with well-established and readily available metrics. For all the emphasis on a principled measure, I do not see a case for using this measure over precisely measuring just its relevant elements separately. Note that democracy measures (V-Dem, Polity Scores) are often an index, and they summarize concepts that are otherwise difficult to measure.

Non-academics may have greater demand for a summary measure in descriptive cross-country comparisons. The question of value added remains. Existing measure may be somewhat arbitrary but may be easier to understand. Non-academic users could find the substantive focus on institutions valuable. The current version of the index does not lend itself to demonstrating the distinctive role of institutions.

*Overall Index*

I am puzzled by the overall organization of the index, especially the duplication of concepts across subindexes. For example, Market Supporting Policy is its own subindex but is also a subset of New Business Formation and Growth (Government Supporting Policy). They use different datasets to measure identical concepts (example: firms' perceptions of government R&D support and government R&D support). At best, the categories need sharper definition. I also wonder if the duplication might bias the overall index by inflating those dimensions of variation in the second order PCA.

I would like to see more reflection on the types of data used. For example, Market Supporting Policy is almost entirely based on WEF firm surveys. Firm surveys have the well-known limitation of selection bias because they sample surviving firms. In general, I suggest aiming for distinct types of data for each concept: observed government investments (government spending on education, R&D, etc), observed quality and quantity of government investment outcomes (educational attainment, roads per capita, patents), government policies (tariffs, regulations), private sector perceptions (firm surveys), private sector actions (borrowing, capital flows), aggregate private sector outcomes (loan defaults).

Topics could be added to the index. In principle, there is no constraint on the amount of data or number of measured used (computing resources are plentiful) though it could make it harder to organize concepts.

> Income equality and government (re)distribution. It pops up in the labor market index and there is some passing mention of taxation. This is substantive judgement call but worth considering if you think inequality harms or helps capitalism.
>
> Monetary policy. I see central bank independence and the Chinn-Ito Index, a measure of controls on cross-border capital flows. What about exchange rate

volatility, currency reserves, and other dimensions of monetary policy related to macroeconomic stability?

Public finance (government debt/GDP, sovereign debt ratings).

Policy stability/uncertainty. This concept is central to political risk measures. The basic idea is that policies are more stable in the presence of more veto players and longer time horizons. Some of the democracy measures may captures these concepts. See also Political Constraint dataset by Wit Heinsz at Wharton.

Other possibly useful datasets: PRS country risk ratings, BERI ratings, World Bank Enterprise Surveys. The OECD has several index-like measures (example: Services Trade Restrictiveness Index) but coverage is obviously limited to the OECD and select other countries.

*Market Supporting Policy Subindex*

Conceptually, I am not sure why this is a separate subindex. It is thin (relatively few measures compared to other subcategories) and overlaps a lot with other parts of the index. Perhaps consider whether all policy choices should be within this category.

Alternately, consider whether this category is really about government provision of public/collective goods that support capitalism: infrastructure (paved roads per capita, (air)port capacity, average time to clear cargo), utilities (cost, reliability, availability of water, electricity, communications), health spending. Analogous education measures are already included elsewhere.

*Misc*

Students learning basic principles of political economy could use something like this index to gain insight into big questions such as “why are some countries wealthy and others poor?” If that is a goal, consider how to tailor the index accordingly to be transparent and highlight the role of institutions.

Students and other lay audiences have a dangerous tendency to assume something numerical is precise and accurate. The advent of AI magnifies this tendency. Consider the implications of your index in this context and how it could be used to address these challenges.